

Multiple Choice (10 marks)

1. Country A has a current account surplus; this means that
 - (a) Country A also has a financial account surplus.
 - (b) Country A has a financial account deficit.
 - (c) Country A must borrow from its foreign reserves.
 - (d) Country A is operating in a recessionary gap.
2. If a firm decreases its prices by 15 percent and its total revenue increases by 30 percent, which of the following is correct?
 - (a) The price elasticity of demand is unit elastic.
 - (b) The price elasticity of demand is inelastic.
 - (c) The price elasticity of demand is elastic.
 - (d) The numerical coefficient of elasticity is equal to one.
3. Which of the following will shift the demand curve for the Mexican peso to the left?
 - (a) Speculation that the peso will increase in value
 - (b) An increase in interest rates in Mexico relative to other countries
 - (c) A lower rate of inflation in Mexico relative to other countries
 - (d) A decrease in the international demand for Mexican-made textiles
4. Suppose the reserve ratio is 0.1. If a bank gets \$200 in deposits what is the maximum amount it can lend?
 - (a) \$20
 - (b) \$180
 - (c) \$2,000
 - (d) Greater than 200*but less than* 500
5. The Law of Diminishing Marginal Returns is responsible for
 - (a) AVC that first rises, but eventually falls, as output increases.
 - (b) AFC that first rises, but eventually falls, as output increases.
 - (c) MP that first falls, but eventually rises, as output increases.
 - (d) MC that first falls, but eventually rises, as output increases.

True / False (10 marks)

Answer True or False

6. True or False: If depository institutions decide to hold more excess reserves, the potential money creation from increased bank reserves is reduced.
7. True or False: A decrease in the birth rate is not a source of wage differentials among workers.
8. True or False: During stagflation, the Phillips curve shifts to the right, indicating higher inflation and unemployment rates simultaneously.
9. True or False: Monopoly deadweight loss occurs when a firm sets its price above marginal cost.
10. True or False: In economics, the term 'capital' refers to plant and equipment used in the production of goods and services.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how Tiger Woods' purchase of a golf ball for \$1 in England affects the country's real GDP, considering the marginal propensity to consume of 0.75. Calculate the total GDP increase and explain your reasoning.
12. Discuss the various arguments for restricting trade and analyze why fighting inflation does not serve as a valid reason for such restrictions.

End of Paper